

Review

Reviewed Work(s): *The Three Worlds of Welfare Capitalism* by Gösta Esping-Andersen

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activity, in contrast to earlier governmental policies designed to stimulate the economy by giving consumers more wherewithal for consumption.

To say that Lindsey regards the 1981 act as a success would be a considerable understatement. In fact, he makes little effort to temper his boundless enthusiasm for both the act itself and its underlying economic principles. He attributes the continuous economic expansion of the 1980s, as well as the markedly lower levels of inflation experienced in that decade, almost entirely to the effects of the 1981 act. In fact, the bulk of the first half of the book is devoted to a variety of econometric proofs of his assertions of these effects.

As a tax teacher myself, I am familiar with the temptation to attribute everything that is either right or wrong in our economy—indeed, in our society as a whole—to various provisions of the Internal Revenue Code. Understandable as it is, this tendency should be resisted. Lindsey's arguments evidence no such restraint, and their credibility suffers a bit as a result. After all, the eighties also witnessed a much more controlled growth of the money supply, considerably greater governmental reliance on borrowed foreign capital, relative freedom from catastrophic increases in the prices of essential commodities, particularly crude oil, and, for all I know, any number of other things (better weather? technological progress?) which may have had much to do with the apparently robust performance of the economy over the decade.

Nevertheless, even if he may be guilty of some overstatement, Lindsey has accumulated an impressive array of sophisticated data that does show how remarkably responsive the economy seems to be to reduced marginal rates of tax. This is especially true under such circumstances as those that prevailed at the beginning of the Reagan years. By that time, a decade and a half of very serious inflation had pushed even middle-income taxpayers into tax brackets originally intended for the rich; the rich in turn had been pushed into the virtually punitive brackets that had been designed—if that is the right word—only for the true plutocrats. The twenty-three percent tax cut for the former group, Lindsey proves, cost some revenue, but very much less than twenty-three percent of the revenue that would have been forthcoming absent the rate cut. As for the latter group—those who are

quite well-off—it seems quite clear from Lindsey's data that the tax cuts were indeed self-financing—i.e., their stimulative effect so enlarged the tax base that even the lower rates produced more revenue.

This evidence has been offered before, by Lindsey and others, in the public finance literature. *The Growth Experiment* is an excellent explanation of this material for a more general audience. The author painstakingly explains both the essential economic concepts of excess burden, tax elasticity, and the like, and the essential provisions of the tax law, in a way that is clear, concise, and understandable, if not fast reading. He has for the most part simplified the material without oversimplifying it, always an admirable accomplishment in an area as complex and important as this one.

There are occasional lapses. Lindsey's discussion of capital gains, for example, strikes me as quite disingenuous. Though there are a few good arguments, I think, for lowering the tax on capital gains, Lindsey rests his case largely on the notions that gain realization results in overtaxation due to "bunching" of income into the year of realization (which is largely irrelevant in a system whose rates flatten out as early in the income distribution as the post-1986 rates do), and that holders of long-term investments are especially harshly treated by a tax system that ignores inflation (which is simply false—all holders of capital are harshly treated, and those who can defer realization of gains are actually less poorly treated than those who cannot). I am sure that the author knows better.

Fortunately, Lindsey is generally more straightforward and candid. His explanations of current and recent past tax policy debates are mostly reliable and always intelligible. The overall result is quite a rewarding book for those who are interested in a systematic explanation of supply-side public finance concepts, or tax economics more generally.

The Three Worlds of Welfare Capitalism, by GÖSTA ESPING-ANDERSEN. Princeton: Princeton University Press, 1990. 248 pp. \$37.50 cloth. ISBN: 0-691-09457-8. \$12.95 paper.

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In this seminal work, Gösta Esping-

Andersen reconceptualizes the welfare state from the perspective of welfare state consequences for citizen dependence upon markets, for labor market operations, and for stratification systems. He does so hoping to focus on "the principles for which historical actors have willingly united and struggled" (p. 52). He identifies distinct conservative, liberal, and social democratic "policy regimes." Conservative regimes (German, Italian, and the like) respond to developmental and socialistic threats by means of social policies that reinforce a traditional hierarchy of sectoral, occupational, and other status groupings in a manner that cements middle-class loyalties to their "welfare state." Liberal regimes such as United States and Canada tie the middle class and the poor to the market as the source for anything more than a harsh minimum of welfare. Social democratic regimes such as Sweden and Norway institutionalize a "universalistic" welfare state that benefits both the traditional working and new white-collar classes. Crucially, the conservative and socialist regimes provide broader and deeper constituencies for safeguarding welfare state commitments than do liberal regimes.

In chapter 1, Esping-Andersen introduces the above ideas and a synopsis. Then in the remainder of Part 1 he consolidates his conceptualization of regime dimensions and types and specifies empirical archetypes. In chapter 2, he ingeniously operationalizes "de-commodification"—the liberation of personal livelihood reliance on the market (p. 22)—in terms of such facets of public pension, sickness, and unemployment benefits as their "income replacement rates" and duration of "coverage." He characterizes it as "the mainspring of modern social policy" (p. 35) and *the* "Politics of Socialism" (p. 44). In chapter 3, he ingeniously conceives and measures yet seven more dimensions of public policy circa 1980: pension fragmentation; public-employee pension effort; means-tested relief as a share of public spending; private shares of retirement and health insurance outlays; universalism of coverage; and differentiation of program benefits across beneficiaries. From an eighteen-case "cluster analysis" of these he derives his three regimes: dimensions "1" and "2" focus conservative states, "3" through "5" liberal ones, "6" and "7" social democratic ones.

The dimensions then serve as regressands and regressors for novel policy analyses in chapters 4 and 5, while the regime types ground case selection for Part 2's case studies of welfare state functions for labor markets and stratification systems.

The specification of welfare state policy dimensions and regimes is a major innovation which will guide others for years to come, in part *because* the specification is not fully resolved and its empirical applications are more exploratory than definitive. As regards unresolved taxonomic issues, decommodification is unaccountably and consequentially omitted from the "cluster analysis." (If one includes it, then it and universalism become the obvious core dimensions of any socialist cluster; benefit differentiation becomes an *inverse* indicator of liberalism, and Austria becomes a lot more "social democratic.") Also, the rather impressionistic "cluster analysis yields clear archetypal" cores but fuzzy peripheries. (I'd exclude Japan—too conservative—from the "liberal" type, the Netherlands—too liberal since the 1960s—from the social democratic type, and Austria—too social democratic since the 1960s and too "de-commodified"—from the conservative type. Moreover, I wonder at the noted taxonomic neglect of three of the eighteen cases, namely, Ireland, New Zealand and the UK.) However, the promise of Esping-Andersen's pathbreaking dimensions for clustering should motivate a veritable cottage industry of more technically skilled cluster analyses, while the excellence of the present "archetypes" as cases for in-depth comparison is evident in Part 2. The underspecified, small-N additive analyses of chapter 4 provide more provocative leads than firm conclusions, but the historical analyses of pension policy in chapter 3 is a small classic.

In Part 2, chapter 6 brilliantly contrasts regime labor markets. To the predictable liberal welter of inefficient (e.g., affirmative action, job training) programs, it adds a pregnant distinction between social democratic labor force *maximization* by means of state jobs and statutes (e.g., *late* retirement provisions) and conservative labor force *minimization* by means of one-earner-family tax incentives and family (but not day care) subsidies. Chapter 7 provides an expert account of social democratic full-employment policy, which elegantly grounds portions of

chapter 8's bold sketch of social democratic, conservative, and liberal postindustrial stratification profiles from Swedish, German, and U.S. models, respectively.

The "liberal" sketch, a delineation of a net occupational upgrading due to movement into business and leisure (or "fun") services, seems excessively goodwilled and abstracted from issues of stagnant earnings. However, the conservative-socialist differentiation of nonsocialist profiles is very suggestive. For example, the discussion of social democratic state-driven professional job creation and conservative family reinforcement (of the "housewife," "household services," etc.) should enrich sundry (e.g., economic and feminist, radical and neoconservative) research and policy agendas. Finally, chapter 9 forecasts a reheating of capital-labor conflict for social democratic regimes and the emergence of insider-outsider (male-female, "volk"-foreigner) conflict in conservative ones.

Despite some loose ends, this book offers a design for the comprehension of welfare states richer than any since the 1980ish classics of Cameron, Skocpol, Stephens, and Przeworski. What is more, this design weaves together the woof and warp of those statist and class-analytical creations in a new fabric that might be called "class statism." The final tapestry will delight and engage the minds of graduate students and scholars of political economy and sociology, public policy, comparative politics, comparative historical sociology, labor markets, race and ethnic relations, and social stratification for some time.

Human Rights in Iraq, by MIDDLE EAST WATCH. New Haven: Yale University Press and Human Rights Watch, 1990. 164 pp. \$19.95 cloth. ISBN: 0-300-04959-5.

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Whatever the outcome of the confrontation between the United States and Iraq (I am writing in late December 1990), this book and its subject constitute a crucial piece of the puzzle that undergirds it. The book was researched and written by David A. Korn and originally published in February 1990. Its November 1990 publication by Yale marks the first in a series of books by Yale and the

nongovernmental agency Human Rights Watch.

The book is well written and clearly organized, in addition to being extremely timely. While not (I believe) the work of a sociologist, it is not unsociological in its presentation, piling fact upon unpleasant fact to reach the conclusion that "Iraq is a well-organized police state and its government is one of the most brutal and repressive regimes in power today" (p. 128). Scores of interviews, secondary scholarship (such as it is), public testimony, United Nations documents, and official Iraqi texts provide the evidence. The jacket cover notes that it is written in a "chillingly dispassionate style," with which I must agree.

Early chapters provide social and historical background on the constitution, Baath Party, secret police, and cult of personality around Saddam Hussein. Chapter 4, on the forms of repression, constitutes the core of the book, devoting eight pages to accounts of torture, twelve to political killings, and five each to disappearances and deportations. It notes that since the 1970s, Saddam Hussein's repression has extended to "conservatives, liberals, non-Baathi Arab nationalists, Communists, Shias, Kurds, Assyrian Christians, Jews, students, intellectuals, military personnel, and even Baath party members and senior figures of the regime" (p. 39). Chapter 5 is a good overview of the plight of the Kurdish minority, which has suffered several thousands killed by chemical gas attacks and 500,000 displaced; the author argues that this treatment is tantamount to genocide. The book is excellent on issues of ethnicity and religion, but not systematic in treating gender or class. Also well covered are the extensive governmental and business contracts between Iraq and the United States throughout the 1980s, in which economic and strategic considerations have clearly outweighed human rights. The official U.S. view that Iraq is "uniquely impervious" to criticism is contradicted with evidence on Iraq's various public relations efforts, concluding that "Silence . . . will not suffice" (p. 127).

The audience for this highly competent study should include Middle East specialists, scholars interested in human rights, and political sociologists of the state. It makes a strong case for human rights as a revealing measure of social welfare and state power, to